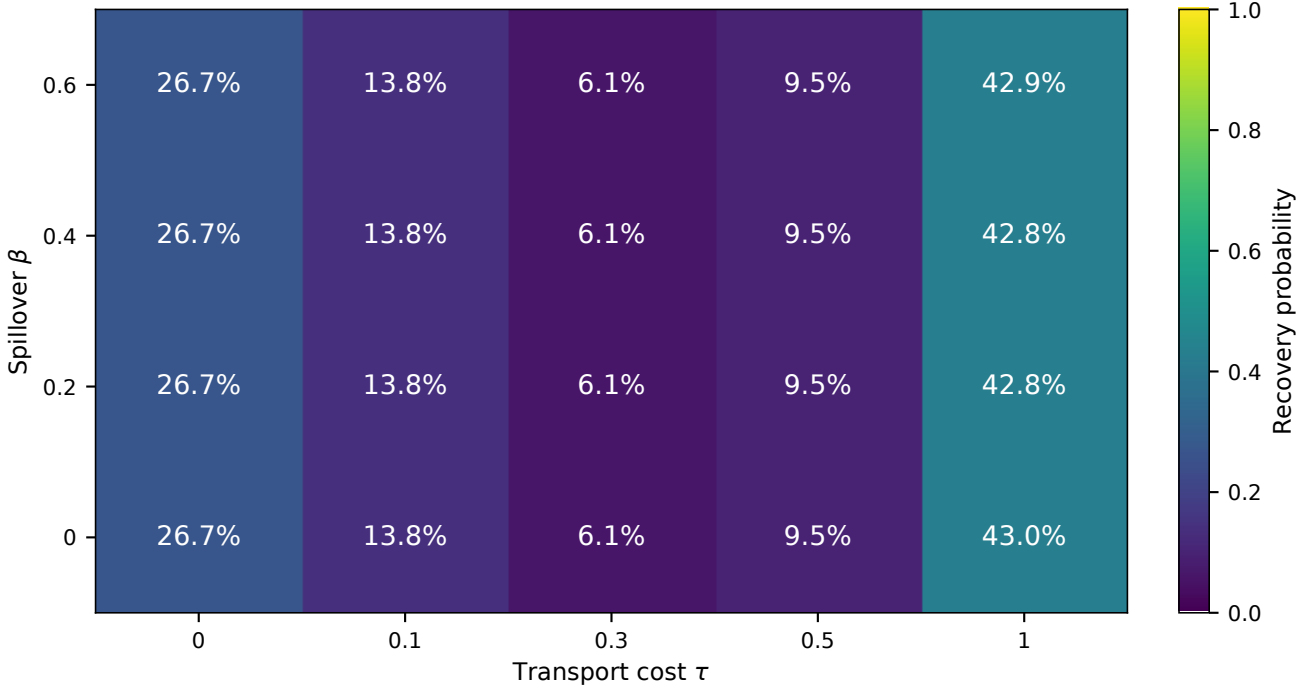
Liquidity-aware recovery: equal weights over FX costs
Spillover β
0.6
0.4
0.2
0
26.7%
13.8%
6.1%
9.5%
42.9%
26.7%
13.8%
6.1%
9.5%
42.8%
26.7%
13.8%
6.1%
9.5%
42.8%
26.7%
13.8%
6.1%
9.5%
43.0%
0
0.1
0.3
0.5
1
Transport cost τ
Recovery probability
1.0
0.8
0.6
0.4
0.2
0.0